

Life application: Tracking your spending, bill paying, and subscriptions

It's not uncommon to hear people say they have no idea where their money goes. They knew they had money in their checking account on payday, but other than the big bills like rent payments, they really have no idea of how they spent all the rest of their money. Worse than that, a lot of people end up with credit card debt....and have no idea how they got into so much debt in the first place. Financial planners often suggest to new clients that they track their spending for several months to see how all the seemingly "little things" add up: A coffee here, a convenience store purchase there, a quick run through the drive-through, etc., all quickly eat away at the balance in one's checking account.

Ten to twenty years ago, people paid for these small purchases with cash, making tracking difficult. Today, most people use debit or credit cards as well as Venmo-type accounts for convenience and safety. Thankfully, having electronic records makes it much easier to see exactly how you have spent your money. Here are a few options for analyzing your spending patterns.

- 1) Most banks and credit card issuers give you an option to download your checking account and credit card account activity into an Excel spreadsheet. Once you download the transaction data, just add an expense "category" column to the spreadsheet and then label each transaction into different categories such as clothing, dining out, groceries, gas, coffee, etc. Once you've labeled your expenses, you can quickly turn the data set into a "Table" that can be filtered by type of expense. (To create an Excel "Table", place your cursor on any cell in the data set, then click INSERT, TABLE, OK). Use the drop-down arrow by the Category heading to filter the various expenses. Then use the autosum button to quickly get the totals for each expense category.
- 2) Alternatively, you can use a spreadsheet template to manually enter your transaction data and use the drop-down list to categorize each transaction. For example, in Google Sheets, you will find a "monthly budget" in the template gallery. After entering your transactions and categorizing each (on the Transactions page), you can see the totals on the Summary page. You can also edit the category names as desired. A similar, but more detailed budget template is available at: <https://aspirebudget.com/>. In addition, you can use the Google Sheets App on your phone to enter transactions as they occur.
- 3) Other people like to use expense tracking apps. Some of the most popular FREE apps are Credit Karma (formerly Mint) and Wally (basic, not premium version). When you attach your bank accounts and credit cards to these apps, they automatically pull any expenditures into the app dashboard and put them into spending categories for you. Keep in mind that the expense categorization isn't always right since the Apps use artificial intelligence (AI) to perform the categorization. Also, the AI won't notice nuances such as how a shopping trip to Target might have contained \$30 of clothes, \$20 of toiletries, and \$25 of food. If you really want to get an accurate picture, you should enter the expense category yourself rather than rely on AI to do it for you. Another potential concern is privacy: Do you want an app to have access to your financial data?
- 4) Finally, there is nothing wrong with just using paper, pen, and a calculator.

Automatic payments, bill paying, and subscription services

Personally, I have a love/hate affair with automatic payments. On the positive side, any automatic payments you set up (such as cell phone, utilities, insurance bills) can help you make sure you pay your bills on time and avoid late fees. On the negative side, these bills can contain errors that 1) you might miss because you aren't looking at the bills before paying them, and 2) could cause a checking account overdraft (and associated fees) since they will be paid regardless of the balance in your checking account.

For example, I once got an erroneous \$700 water bill from the City of Cleveland. I almost had a heart attack when I got the bill! But, since I didn't have the account on autopay, I called BEFORE paying it, and got the bill corrected to its proper amount (about \$40). If I would have had the water bill on autopay, the \$700 would have automatically been taken from my checking account, leaving me with the task of trying to get the money back. Worse yet, instead of giving me my money back, they probably would have just issued a credit on my water account to offset future water bills.

What if I would have had only \$500 in my checking account, and yet they deducted \$700 from my account because of autopay? I would have had an overdraft, along with an overdraft fee. It also could have wreaked havoc on other legitimate payments I made, counting on that \$500 to be in my account.

I personally do not use automatic payments. Rather, I use a spreadsheet to keep track of my normal monthly bills and the day of the month they are typically due. I simply enter the amount paid on the date I make (or schedule) the payment so that I can easily see the bills I have paid and the ones that are still due. I made my own Excel spreadsheet, but a similar template is available on Excel if you search "bill paying checklist". Another suggestion is to choose a few dates of the month (for example the 1st and 15th) to pay bills. By creating these routines, you are less likely to miss a due date.

I also have a love/hate affair with subscription services such as Netflix, Spotify, Amazon Prime, and SiriusXm. Most of these services force you to sign up for automatic credit card or debit card payments. These companies LOVE the subscription-based business model because it provides them with a steady, predictable stream of income and cash. They never have to worry about customers not paying! Frankly, consumers generally forget about the monthly cost of subscriptions since they are on autopay. Furthermore, people typically continue with the services indefinitely, unless they get really fed up. Therefore, it's always wise to reassess your subscriptions on a regular basis so that you can decide whether each subscription is still "worth it" to you, and, whether there are new, lower-cost substitutions that have entered the marketplace since you originally signed up. I recommend reassessing your subscriptions at least 2-3 times a year.

For example, not too long ago I got fed up with Spectrum, which was costing me about \$160 per month for cable TV and internet combined. I switched to Tmobile home wifi, which is about \$50 per month (discounted due to our family cell service). Focusing just on internet, the monthly savings is \$30. But we also decided to just cancel the cable TV. We have Netflix and Amazon Prime after all. So that is an additional \$80 of savings per month. In total, the monthly savings of \$110 equates to \$1,320 per year! I find that I watch less TV and do more work in my

yard. That's a double win because moving around is healthier than sitting! Actually, it's a triple win because the yard work gets done too!

(Complete Life Application Task below)

Life application task

Key objective: Track your expenses over the last few months in order to analyze how you spent your money. Develop a game plan for paying recurring bills.

1. Obtain the electronic records from the following sources for the last 2-3 months:
_____ Bank account _____ Credit card(s) _____ Venmo _____ Other
2. If you are a cash user, also include the amount of cash you withdrew from an ATM. You'll have to try to remember how you spent it, or look at cash receipts.
3. Categorize expenses in a manner that makes sense for you. Use one of the methods listed in the introduction, OR, let me know a different method that you used.
 - a. _____ Downloaded transaction data from bank and/or credit card issuer
 - b. _____ Used a preformatted spreadsheet template
 - c. _____ Used an App. Which one? _____
 - d. _____ Used pen and paper
 - e. _____ Other method
4. When you consider the total you spent in each category, were there any surprises?
5. Are there any categories where you see opportunities for cutting back in order to free up more money for savings and/or other necessary expenses or debt payments?
6. Do you have any automatic payments deducted from your checking account? Have you set up notifications to view the bills prior to payments being made?
7. Reassess your subscription services. What do you currently have on monthly subscription? Are there any that you no longer value as much as you once did, that you might consider dropping? Are there any you could share with family or friends, and split the cost?
8. What is your current method for making sure you pay bills on time? Does it work for you or do you need a new game plan to make sure all bills are paid on time?